

BEFORE THE
FEDERAL MARITIME
COMMISSION

DOCKET NO. 22-18

COLOR BRANDS, LLC.

COMPLAINANT,

v.

AAF LOGISTICS, INC.

RESPONDENT.

**BRIEF OF COMPLAINANT, COLOR BRAND'S LLC, RESPONDING TO THE
COMMISSION'S ORDER OF REMAND DATED JANUARY 18, 2024**

NOW COMES, Complainant, Color Brand's LLC., responding to the Federal Maritime Commission ("Commission") Remand Portion of its Order dated January 18, 2024. Therein, the Commission requested briefing on two issues. First, is the amount of Reparations sought and second, the date of injury for purposes of calculation of interest and to ensure damages are only sought for the period within one year and three years of commencement of the proceeding for cargo claims and for insurance coverage reimbursement, respectively.

Meanwhile, the Commission has granted Complainant's request for a default against Respondent. Thus, the Respondent is deemed to concede the truth of the allegations underpinning the allegations of liability (Commission Rule 62 and see *United Logistics (LAX) Inc. – Possible Violations of Sections 10(A)(1) and 10(B)(2)(A) of the Shipping Act of 1984*, Docket No. 13-01, 33 S.R.R. 196, 198 (FMC Feb. 6, 2014); *Century Metal Recycling Pvt. Ltd. v. Dacon Logistics, LLC*, Docket 12-09, 33 S.R.R. 17, 19 (FMC Nov. 12, 2013). When a respondent defaults, the finder of fact accepts as true all well-pleaded

facts in the order. 10A Wright & Miller § 2688, pp. 58-61; *Hugh Symington v. Euro Car Transport, Inc.*, Docket No. 92-47, 26 S.R.R. 871, 872 (ALJ Mar. 18, 1993) (adm. final).

There are two categories of Complainant's damages.

First, are paid cargo insurance premiums for shipments spanning a number of years. Respondent did not provide proof of the same despite repeated requests for the same and then conceded no insurance was obtained.

Second, are cargo loss and damage claims.

Prejudgment interest is sought for both damage categories.

A. COLOR BRANDS' CLAIM FOR REIMBURSEMENT OF CARGO INSURANCE PAYMENTS

Since August 1, 2019, Color Brands paid Respondent for cargo insurance for over 1,220 shipments and that proof of same has only been provided three times, despite repeated requests for such proof (Comp't ¶ 14).

The Complaint was filed on August 30, 2022. Thus, accrued claims for injury may reach back for three years prior to the filing of the Complaint. 46 C.F.R. §§ 502.62, 41301 and 41305 and 502.62. The date of Complainant's payment of insurance that was billed by Respondent but never acquired is the appropriate date for determining the date of injury because the date of payment is the date of harm. Thus, the three year period applies from August 30, 2019.

As demonstrated in the supporting declaration of Daniel Lutz, Chief Operating Officer of Color Brands, from August 30, 2019, through February 18, 2022, Color Brands has paid to Respondent insurance premiums on 1,221 shipments with values totaling \$36,104,153.77 (Lutz Decl. at ¶ 5 and Ex. 1 thereto). Attached as Exhibit 1 to Lutz' declaration is Complainant's spreadsheet of the shipments during the relevant three year period of time for which insurance was charged and paid but never acquired.

By way of example, Exhibit 2 to the declaration supporting this request are true and correct copies of Respondent's Invoice I1909095 dated September 9, 2019 (for ocean freight, documentation and cargo insurance) and proof of Complainant's ACH payment therefore.

Exhibit 3 are true and correct copies of Respondent's Invoice I2007047 dated July 16, 2020 (for ocean freight, documentation and cargo insurance) and proof of Complainant's ACH payment therefore.

Exhibit 4 are true and correct copies of Respondent's Invoice I2109072 dated September 14, 2021 (for ocean freight, documentation and cargo insurance), proof of Complainant's ACH payment therefore and the accompanying email showing that the batch payment includes this invoice.

Exhibit 5 are true and correct copies of Respondent's Invoice I2201018 dated January 16, 2022 (for ocean freight, documentation and cargo insurance), proof of Complainant's ACH payment therefore and the accompanying email showing that the batch payment includes this invoice.

Exhibits 2 through 5 are examples of the pattern of Respondent's billing and Complainant's payment. These Exhibits are representative of the parties' pattern of behavior¹ (Lutz Decl. at ¶ 12).

The amount of insurance charged by Respondent was determined by Respondent. Nevertheless, an average rate of .0032 is validated by dividing the total insurance charges by the order values of the cargo. That yields an average charged rate of .032% of stated cargo value per shipment (Lutz Decl. at ¶¶ 5-6).

This shows that the insurance payment reimbursement claim totals \$115,533.29 for the shipments identified in Exhibit 1.

Of the foregoing 1,221 shipments, insurance was effected on three of them (based on letter of credit requirements (Compl't at ¶ 14). The insurance paid for the three shipments were on Order numbers 2038, 5245 and 5968 and totaled \$649.00. Complainant therefore reduces its insurance refund request by \$ 649.00 (Lutz Decl. at ¶ 13 and Ex. 1).

Therefore, the net principal amount of Complainant's claim for reimbursement of insurance payments on 1,218 shipments is \$114,884.29 (Lutz Declaration at ¶ 14).

¹ Complainant's claim for damages does not include a request for reimbursement of the freight or other non-insurance payments made to Respondent.

The number of monthly shipments were approximately the same over the 36 month period. (Lutz Decl. at ¶ 16). Consonant with 46 C.F.R. § 502.251, Complainant requests interest accruing from the mid-way point for this three-year period. That date is March 2, 2021.

Pre-judgment interest is presumptively allowed. “[A]n award for prejudgment interest in actions under the general maritime law is the rule rather than the exception; prejudgment interest must be awarded unless unusual circumstances make an award inequitable.” *Ryan Walsh Stevedoring Co. v. James Marine Servs., Inc.*, 792 F.2d 489, 492 (5th Cir. 1986).

The Shipping Act requires the Commission to award the loss of interest at commercial rates compounded from the date of injury. 46 U.S.C. § 41305. In *In re Amoco Cadiz*, 1992 AMC 913, 981 (7th Cir. 1992), the court held that the pre-judgment rate is the market rate which the plaintiff must pay to borrow money. Since the judgment in this case is to compensate Complainant, as opposed to punish Respondent, Complainant’s cost of borrowing is an appropriate measure. Meanwhile, both Complainant and Respondent are private corporations.

While Color Brands’ did not use a credit facility in March 2021, its credit facility in November of 2021 was charging Prime plus 3 percent. As the Prime rate in March 2021 and November 2021 was 3.25%, Complainant’s estimated cost of borrowing was 6.25% (Lutz Decl. at ¶ 18). While compound interest is recoverable, for simplicity sake and to be more conservative, Complainant waives compound interest and requests simple interest at 6.25% per year.

At 6.25% simple interest, prejudgment interest is \$ 7,180.27 per year when applied against a principal loss of \$114,884.29. That is the equivalent of \$19.67 per day ($\$7,180 / 365$).

The period between March 2, 2021, and March 25, 2024, spans 1,119 days. Therefore, prejudgment interest for this aspect of the claim is \$22,010.73 ($1,119 \times \19.67).

Thus, as to the insurance premium category, principal damages, with prejudgment interest, total \$136,895.02.

B. COLOR BRANDS’ CLAIM FOR REIMBURSEMENT FOR CARGO DAMAGE

Complainant’s second category of damages is uncompensated cargo damage claims.

Attached as Exhibit 6 to the supporting declaration is a spreadsheet of 15 shipments with cargo damage with deliveries within one year of the filing of the Complaint (Lutz Decl. at ¶ 22). The period of recoverable damage claims is August 30, 2021, through August 30, 2022 which is the proper period of time under the one-year statute of limitation afforded under the Carriage of Goods by Sea Act, 46 U.S.C. § 30701 Chapter 28 Appendix.

Complainant provides three examples of cargo claim scenarios with supporting documents for each which are representative of the Cargo claims submitted to Respondent but not paid.

Attached as Exhibit 7 to Lutz's declaration are true and correct copies of claim documents regarding order 5392, including Respondent's bill of lading dated May 5, 2020, proof of delivery identifying container damage, photographic proof of damage, the notice of claim by Complainant's customer, the Credit memo by Complainant and Complainant's claim submission email to Respondent.

Attached as Exhibit 8 to Lutz's declaration are true and correct copies of claim documents regarding order 5394, including the AAF bill of lading dated May 21, 2021, photographs of leaking product, the notice of claim by Complainant's customer, the Credit memo by Complainant and Complainant's claim submission email to Respondent.

Attached as Exhibit 9 to Lutz's declaration are true and correct copies of claim documents regarding order 7065, including the AAF bill of lading dated December 19, 2021, exceptions on delivery, photographs upon delivery, the notice of claim by Complainant's customer, the Credit memo by Complainant and Complainant's claim submission email to Respondent.

The unpaid cargo claims during this one year period total \$189,929.10 (Lutz Decl at ¶¶ 23 and 27).

Simple prejudgment interest is requested at the midpoint of the 15 shipments which is approximately November 20, 2021.

Color Brands's cost of borrowing in November 2022 was Prime plus 3% (Lutz Decl at ¶ 18). The Prime interest rate was 3.25% (unchanged since before March 2021). Again, to be conservative,

Complainant waives compound interest. Instead, it requests simple interest at 6.25% per year from November 20, 2021. Applying this interest rate to the damages of \$189,929.10 yields interest of \$11,870.57 per year which converts to \$ 32.52 per day. The period from November 20, 2021, to March 25, 2024, spanned 822 days. Thus, prejudgment interest on this aspect of the loss totals \$ 26,731.44.

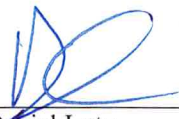
Therefore, as to the cargo damage portion of the loss, the loss, with prejudgment interest, is \$213,660.54.

WHEREFORE, Color Brands prays that the Commission enter final judgment against Respondent in the principal amount of \$ 304,813.39, plus prejudgment interest of \$48,742.17, for a total judgment amount of \$353,555.56.

Dated: March 15th, 2024

Respectfully Submitted,

Color Brands, LLC



Daniel Lutz
Chief Operating Officer